CONFIDENTIAL INFORMATION MEMORANDUM

Northfold Signal Systems, Inc. (fictional)

Electronic warfare and signals intelligence sensors for U.S. and allied defense customers

March 2026

FICTIONAL COMPANY. TEST DOCUMENT ONLY. NOT A REAL CIM. Northfold Signal Systems does not exist. All names, figures and events are invented to test software.

Notice to Recipients

This fictional Confidential Information Memorandum has been prepared solely to test document-analysis software. It describes an invented company. No investment, offer or solicitation is made or implied.

The projections in this memorandum were prepared by management of the fictional company and reflect management's estimates and assumptions. Actual results may differ materially.

1. Executive Summary

Northfold Signal Systems, Inc. ("Northfold" or the "Company") designs and manufactures compact electronic warfare (EW) and signals intelligence (SIGINT) sensors for U.S. Army, U.S. Special Operations Command and allied customers. Founded in 2009 and headquartered in Huntsville, Alabama, the Company is privately owned by its founders.

Northfold generated revenue of $201.4 million and Adjusted EBITDA of $39.8 million in fiscal 2025, and Adjusted EBITDA margin expanded to 20.1% in fiscal 2025.

Investment highlights:

- Mission-critical, sole-source positions on two Army programs of record
- Backlog of $310.0 million at December 31, 2025, providing multi-year revenue visibility
- Management projects revenue of $409.0 million and Adjusted EBITDA of $96.3 million in fiscal 2030
- 62% of employees hold active security clearances

2. Company Overview

Northfold operates in two product lines: Tactical EW Sensors (61% of fiscal 2025 revenue) and Strategic SIGINT Receivers (39% of fiscal 2025 revenue).

The Company employs 410 people, of whom 254 hold active security clearances. Manufacturing takes place in a 120,000 square foot leased facility in Huntsville, Alabama.

Northfold's fiscal year ends December 31.

3. Customers and Contracts

The U.S. Army accounted for 41% of fiscal 2025 revenue. The top five customers accounted for 78% of fiscal 2025 revenue. Northfold is the prime contractor on 58% of revenue and a subcontractor on 42%.

Firm-fixed-price contracts represented 65% of fiscal 2025 revenue, cost-plus contracts 28% and time-and-materials contracts 7%.

Backlog ($ in millions)	Dec. 31, 2024	Dec. 31, 2025
Funded backlog	148.0	176.0
Unfunded backlog	96.0	119.0
Total backlog	244.0	295.0

The Company's largest program, the Army's Tactical Spectrum Sensor, has a recompete expected in fiscal 2028.

4. Market Overview

Management estimates the addressable market for tactical EW and SIGINT sensors at $4.2 billion in 2025, growing at 7% per year. Principal competitors include larger defense primes and several venture-backed entrants.

5. Historical Financial Performance

Summary income statement (fiscal years ended December 31; $ in millions):

	FY2023A	FY2024A	FY2025A
Revenue	142.6	168.9	201.4
Cost of revenue	(98.4)	(115.7)	(136.9)
Gross profit	44.2	53.2	64.5
SG&A	(26.3)	(29.4)	(33.6)
Operating income	17.9	23.8	30.9
Depreciation and amortization	3.6	4.1	4.7
Management add-backs	2.6	3.6	4.2
Adjusted EBITDA	24.1	31.5	39.8

Management add-backs in fiscal 2025 consisted of founder compensation normalization of $1.1 million, one-time legal expense of $0.6 million and pro forma cost savings of $2.5 million from a planned facility consolidation that had not occurred as of December 31, 2025.

Revenue grew 19.2% in fiscal 2025, driven by higher production volumes on the Tactical Spectrum Sensor program. Gross margin was 32.0% in fiscal 2025.

6. Cash Flow and Balance Sheet

$ in millions	FY2023A	FY2024A	FY2025A
Capital expenditures	4.2	5.0	6.1
Cash taxes paid	0.8	1.0	1.2
Net cash provided by operating activities	14.9	19.6	24.3

The Company is taxed as an S corporation; cash taxes reflect state taxes only.

Balance sheet at Dec. 31 ($ in millions)	FY2024A	FY2025A
Cash and cash equivalents	6.1	8.4
Accounts receivable	26.0	31.2
Unbilled receivables	10.1	12.5
Inventories	8.7	9.8
Accounts payable	9.9	11.3
Accrued liabilities	6.8	7.6
Customer advances	2.4	3.1
Term loan	52.0	45.0

The term loan of $45.0 million will be repaid at the closing of a transaction. The Company has a $25.0 million revolving credit facility, undrawn at December 31, 2025.

7. Management Projections

Management's projections for fiscal 2026 through fiscal 2030 ($ in millions):

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	238.0	279.5	322.0	366.0	409.0
Adjusted EBITDA	50.0	61.5	73.2	85.1	96.3
Capital expenditures	7.1	8.4	9.6	11.0	12.3

Source: Company management. Projections assume the Tactical Spectrum Sensor recompete is won in FY2028.

Key projection assumptions: continued production ramp on the Tactical Spectrum Sensor program, two new allied customers beginning in fiscal 2027, and Adjusted EBITDA margin expansion to 23.5% by fiscal 2030 from operating leverage.

8. Transaction Overview

The shareholders are exploring a sale of 100% of the Company. Indications of interest are due April 30, 2026. The memorandum does not state an asking price.